The Morning Brief

MAY 7, 2026

Records Reset

S&P 500 and Nasdaq print fresh records as AMD revalues the AI sleeve and crude collapses on Iran-deal proximity.

SPY	AMD	BRENT (BNO)	GOLD (GLD)	FEAR & GREED
$733.83 ↑1.39%	$421.39 ↑18.61%	$53.53 ↓7.99%	$430.96 ↑3.03%	47 · Neutral

SECTION 01

Markets

RECORDS PRINT ACROSS THE MAJOR INDICES — BREADTH CONFIRMS THE AI & PEACE BID

Wednesday closed with SPY at $733.83 (+1.39%) and the Nasdaq Composite at $695.77 (+2.08%), with both the S&P 500 and Nasdaq registering fresh closing highs per CNBC and TheStreet coverage. The Dow added 1.24% to $499.05, and the Russell 2000 advanced 1.50% to $286.80. The breadth signal carried through the sector composite: Tech (XLK) +2.66%, Industrials (XLI) +2.59%, Materials (XLB) +1.71%, with only Energy (XLE) −4.12% and Utilities (XLU) −1.42% finishing red. UVXY declined 2.91%, consistent with implied-vol normalization as the Iran-deal narrative absorbed the tape. CAT printed +2.47% to $926.93 on continued favorable analyst commentary post the DA Davidson target raise per Yahoo coverage. The S&P 500 futures complex extended Thursday pre-market with ES futures trading near 7,385 per Investing.com, suggesting the rally has not yet exhausted its forward bid.

AMD REPRICES THE ENTIRE AI SLEEVE — META'S 6 GW INSTINCT COMMITMENT IS THE ANCHOR

AMD closed Wednesday at $421.39 (+18.61%), what CNBC characterized as its strongest post-earnings reaction in roughly seven years, on the combination of the Q1 print, the Q2 guide above $11.2B, and Lisa Su's announcement of an expanded Meta partnership covering up to 6 gigawatts of Instinct GPU deployments across multiple product generations per CNBC and Investing.com transcripts. The read-across through the IOWN AI-edge cohort was structural rather than sympathetic: TSM +6.36% to $419.50, NVDA +5.77% to $207.83, NXPI +3.83% to $303.55, LRCX +7.75% to $297.17, KEYS +3.02% to $366.68, MRVL +2.01%, ADI +2.68%, and TEL +4.46%. The semiconductor-equipment and connector sub-sleeves participated alongside the GPU and CPU names, indicating the revaluation is being expressed across the full physical-AI-infrastructure stack rather than concentrated in a single beneficiary. NVDA reports May 20 per WallStreetHorizon — AMD's print materially eases the bar that print needs to clear.

CRUDE COLLAPSES, ENERGY SLEEVE ABSORBS THE HIT, PRECIOUS METALS DIVERGE SHARPLY

Brent (BNO) fell 7.99% to $53.53 and WTI (USO) declined 7.09% to $133.95 on Axios reporting that the United States and Iran are negotiating a one-page, fourteen-point memorandum to end hostilities and open thirty days of detailed nuclear talks per CNBC and The National coverage. The IOWN integrated-energy sub-sleeve absorbed the move directly: CVX −3.88% to $185.16, VLO −6.61% to $236.69, OKE −4.91% to $85.60, CNX −3.87% to $36.55. CTRA fell 8.62% to $32.56 ahead of today's Devon-merger close and

S&P 500 exit. The contrasting precious-metals action is notable: Gold (GLD) advanced 3.03% to $430.96 and Silver (SLV) added 6.40% to $70.13, with TLT also up 0.76% to $86.08 — the safe-haven complex strengthening alongside record equity prints suggests the move is more dollar-driven than risk-off in character. Trump separately warned that Iran would face significantly escalated military action if the framework is rejected per CNBC reporting, which preserves the binary nature of the energy setup.

S&P 500 / NASDAQ	SPY $733.83 · Nasdaq +2.08% · Fresh records
AMD	$421.39 · ↑18.61% · Meta 6 GW Instinct deal
AI-EDGE COHORT	TSM +6.36% · NVDA +5.77% · LRCX +7.75% · NXPI +3.83%
CRUDE	BNO ↓7.99% · USO ↓7.09% · Axios reports MOU near
ENERGY SLEEVE	XLE ↓4.12% · CVX, VLO, OKE, CNX all red
PRECIOUS METALS	GLD ↑3.03% · SLV ↑6.40% · Dollar softer
CARSON'S ACTIVE LEVEL	SPY $645.80 support · Untested

When AMD's post-earnings move trades in lockstep with TSM, LRCX, and NXPI, the committee is observing a coordinated revaluation of the entire physical-AI infrastructure stack — not a single-name beat. Combine that with crude collapsing on a credible diplomatic track and precious metals advancing on dollar softness, and the macro framing has shifted: the IOWN growth sleeve is being repriced for sustained capex, while the energy sleeve transitions from war-premium to fundamentals. **The physical world matters.**

SECTION 02

Geopolitics

IRAN & US REPORTEDLY NEAR A ONE-PAGE MOU — TRUMP HEDGES WITH A BOMBING THREAT

Axios reported Wednesday that the White House believes it is closing on a one-page, fourteen-point memorandum of understanding with Iran that would declare an end to hostilities, open a thirty-day window for detailed nuclear talks, and frame initial commitments on enrichment, sanctions, and Strait-of-Hormuz transit per CNBC, NBC News, and The National coverage. Tehran is reportedly expected to respond to the framework within forty-eight hours, with the Pakistan-mediated channel as the principal communication mechanism per Iran International. Trump separately stated that Iran would face significantly escalated military action if the framework is rejected per CNBC, preserving leverage on the diplomatic track. The committee may reasonably treat the proximity of an interim framework as the primary driver of the energy-sleeve repricing, while recognizing that the underlying questions on uranium custody, sanctions architecture, and Hormuz governance remain unresolved — a rejection scenario would re-establish the war-risk premium against a now-thinner energy sleeve.

TRUMP–XI BEIJING SUMMIT EIGHT DAYS OUT — THE IRAN TRACK BECOMES SUMMIT ARCHITECTURE

The Trump–Xi summit on May 14–15 in Beijing now sits eight days from today and is materially more consequential given the convergence of the Iran framework, the trade-truce extension, and Beijing's reported willingness to assist with uranium custody per Newsweek and Reuters reporting. Per Brookings and Atlantic Council coverage, the principal agenda items are expected to be trade-truce extension, the rare-earth and US-goods purchase architecture, and potentially a request from Trump for Chinese assistance in pressing Iran on enrichment and Hormuz transit. China separately asked domestic banks to pause new lending to US-sanctioned refiners per Bloomberg via Reuters — a small data point but consistent with Beijing positioning itself as a constructive intermediary on the Iran file ahead of the summit. The defense exposure (LMT +1.05%, GD −0.54% Wednesday) remains a hedge against framework breakdown.

IRAN MOU	14-point framework reported · 48-hour Tehran response window
TRUMP POSTURE	Threatens escalated military action if framework rejected
TRUMP–XI SUMMIT	May 14–15 Beijing · 8 days out
CHINA & REFINERS	Banks asked to pause new loans to US-sanctioned refiners
CRUDE REACTION	BNO ↓7.99% · USO ↓7.09%
DEFENSE HEDGE	LMT $514.26 · ↑1.05% · Framework-breakdown hedge

SECTION 03

On Our Radar

1. Initial Jobless Claims at 7:30 AM CT — consensus 205K versus 189K prior, the cleanest near-term labor read into the June FOMC. Per the data drop, Initial Jobless Claims is expected at 205K against 189K prior with the four-week average near 207.5K; Continuing Claims is expected at 1,800K versus 1,785K prior. The April ADP print released Wednesday came in at 109K against an expected 99K, the fastest pace since January 2025 per the ADP press release, with small business adding 65K and medium business adding only 2K — ADP commentary characterized the pattern as middle-tier softness with the labor market expanding at the small and large ends. The combined print is consistent with a labor market that is cooling at the margin without rolling over. Q1 Productivity Preliminary at the same time is expected at +1.4% versus +1.8% prior, with Unit Labor Costs expected at +2.6% versus +4.4%, both of which would mark a moderation in the inflation-impulse channel. Rate-sensitive IOWN holdings (NEE, BKH, ATO, DGX) carry the principal sensitivity. *Research Reveals Opportunities.*

2. CTRA exits the S&P 500 today on the Devon merger close — Veeva replaces ahead of the open, closing the Coterra chapter for the IOWN energy sleeve. Per S&P Dow Jones Indices, Veeva Systems replaces Coterra Energy in the S&P 500 prior to Thursday's open, with Devon Energy continuing as the surviving S&P 500 constituent. CTRA shareholders receive 0.70 Devon shares per CTRA share at the close per the Devon-Coterra merger materials. CTRA finished Wednesday at $32.56 (−8.62%), the largest IOWN single-name decline of the day on combined index-rebalance flows and the broader energy-sleeve weakness. The Permian-consolidation thesis remains validated; the post-merger Devon position will carry forward exposure to the broader US shale framework with the larger production base.

3. ATO and FTNT delivered Q1 beats while BKH missed but reaffirmed — the post-print tape painted a more nuanced picture than the headlines suggest. ATO reported $3.47 EPS against the $3.43 consensus per Investing.com transcripts, and the company raised fiscal 2026 EPS guidance per StockTitan reporting; the stock finished −1.33% to $184.76 in a session where the broader utility sleeve underperformed (XLU −1.42%). FTNT reported $0.82 non-GAAP EPS on $1.85B revenue against a $0.63 estimate, with billings growth of 31% and OT-security billings growth above 70% per the StockTitan release; FTNT finished essentially flat at $89.95 (+0.03%), suggesting the print was already in the pre-announcement positioning. BKH reported $1.79 against a $1.86 consensus per Quiver Quantitative but reaffirmed full-year guidance and updated on the NorthWestern merger and data-center progress per the GlobeNewswire release; shares closed +0.11% to $73.92. *Avoid Erosion.*

4. VST, COIN, HRMY, and CWAN report today — the physical-AI power thesis and the digital-asset operational read are the two principal forward markers. VST consensus is approximately $1.35 EPS per the data drop, with the AI-power demand thesis the principal forward marker after the stock's −1.30% Wednesday close to $158.29; the company has been a primary IOWN expression of the physical-AI infrastructure thesis on the power-generation side. COIN consensus is approximately $0.30 EPS, with crypto-trading volumes a likely headwind into the print per Yahoo coverage of the slowdown narrative; HOOD finished +2.62% to $79.05 Wednesday on read-across positioning. HRMY consensus near $0.73 and CWAN consensus near $0.16 round out the IOWN reporting calendar; HRMY closed +1.36% to $32.78 and CWAN +0.33% to $24.27. *Think Like an Owner.*

5. HUT prints +35.31% to $108.94 in a session where Bitcoin is essentially flat — the crypto-miner cohort is leading the digital sleeve on a structural rather than directional basis. Hut 8 reported Q1 results Wednesday and the stock added 35.31% on what SeekingAlpha coverage of the earnings call presentation indicates was a combination of operational milestones and forward-capacity commentary. MARA followed with +7.15% to $13.03, while IBIT finished −0.19% to $46.19 and ETHA −1.01% to $17.72. Bitcoin tagged $82,000 in Asian session per Benzinga reporting on tokenized-stock activity from BlackRock and JPMorgan, but the IBIT/ETHA flat-to-down session suggests US-listed flows are tactically subdued. The miner-versus-spot-ETF divergence is the watchpoint: when miners outperform the underlying, the cohort is typically pricing operational leverage rather than spot-Bitcoin direction.

6. Gold to a fresh record alongside record S&P 500 prints — the simultaneous safe-haven and risk-on advance is the unusual signal. Gold (GLD) advanced 3.03% to $430.96, Silver (SLV) added 6.40% to $70.13, and TLT firmed 0.76% to $86.08 in the same session that registered fresh closing highs in the S&P 500 and Nasdaq. The combined move is more consistent with dollar weakness on Iran-deal optimism than with a defensive-positioning rotation; the Reuters reporting that gold gained for a third session on US-Iran peace deal optimism supports that read. AEM advanced 6.55% to $189.81 in IOWN-cohort confirmation. The committee may reasonably observe that the safe-haven complex is now positioned to hedge a framework-breakdown scenario from a higher base, which preserves optionality. **Simplicity Over Complexity.**